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Author(s): James G. Gimpel, Frances E. Lee and Shanna Pearson-Merkowitz

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The Check Is in the Mail: Interdistrict Funding Flows in Congressional Elections

James G. Gimpel University of Maryland
Frances E. Lee University of Maryland
Shanna Pearson-Merkowitz University of Maryland

This article analyzes the financial ties between congressional candidates and individual donors residing outside those candidates' districts. Congressional campaigns today rely more heavily on nonresidents than in the past, with contests in the typical district drawing more than two-thirds of individual donations from nonresidents. Empirical results reveal that nonresident contributions are primarily partisan and strategic in nature, rather than access-oriented or expressive/identity-based. Funds are efficiently redistributed from a small number of highly educated, wealthy congressional districts to competitive districts anywhere in the country. Big donors direct funds where they can make a difference for party control of seats, even if those investments are hundreds, or even thousands, of miles away.

The basis of political representation in the United States, and in most western democracies, is geographic. Representation in the U.S. Congress was specifically designed to be territorial (Rehfield 2005). The U.S. Constitution grants rights of representation in Congress to states, not to individual citizens. In addition, only state residents are eligible to represent a state in either chamber of Congress. Local interests are thus given pride of place in the system of representation set up by the U.S. Constitution.

But many aspects of modern life challenge geography as the basis of representation. Citizens are far more mobile today than they were a century ago, and improvements in communication and transportation have greatly reduced the costs associated with distance. Quite commonly, a candidate's biography will include considerable mobility: born in one state, attended college in another, and established a political career in a third. Candidates develop sources of support well beyond the borders of the geographic constituency they hope to serve. As legislators, they perceive their constituency as "broader than the geographic boundary of their district" (Jewell 1983,

322; Reingold 1992). These developments raise questions about the connection between officeholders and their geographic constituencies, and they point to an evolving understanding of representation from one based exclusively on territory to one shaped by influences well beyond that territory (Pedersen, Kjaer, and Eliassen 2004).

In particular, representation in the United States is often "surrogate," in which citizens are represented by legislators with whom they have no electoral relationship" (Mansbridge 2003, 522). Relationships of surrogate representation are primarily expressed through campaign contributions. Indeed, "citizens with ample discretionary income find many of their most meaningful instances of legislative representation through what one might call 'monetary surrogacy'" (523).

With respect to congressional representation, relationships of monetary surrogacy are much less restricted than the electoral relationships between voters and representatives. Voters can cast only *one* vote in *only one* House race—usually one that will be decided by a lopsided margin, sometimes without major party opposition at all—and in most states they must be registered in advance to do

James G. Gimpel is professor of political science, University of Maryland, 3140 Tydings Hall, College Park, MD 20742 (JGimpel@gvpt.umd.edu). Frances E. Lee is associate professor of political science, University of Maryland, 3140 Tydings Hall, College Park, MD 20742 (FLee@gvpt.umd.edu). Shanna Pearson-Merkowitz is a graduate student in government and politics, University of Maryland, 3140 Tydings Hall, College Park, MD 20742 (shannapm@gmail.com).

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so. By contrast, citizens can donate to as many candidates as they choose as often as they like, up to a regulated limit, and they can target those donations to competitive races where they can potentially make more of a difference to outcomes. Monetary surrogacy thus provides opportunities for more consequential and rewarding participation in politics than are available in the single dyadic representational relationship available to voters.

Our goal is to analyze relations of monetary surrogacy in congressional elections. By “monetary surrogacy” we mean the financial ties between candidates running for Congress and individual donors who reside outside those candidates’ districts. Although the subject has received relatively little attention in political science (for a notable exception, see Grenzke 1988), monetary surrogacy is vital to the financing of congressional campaigns. The typical congressional campaign today receives *more than two-thirds* of individual donations from outside the district. Below we provide the first systematic analysis of funding flows across congressional district lines, showing that geographic segregation by socioeconomic status profoundly bears upon monetary surrogacy in U.S. House representation.

After taking stock of patterns and trends, we use cross-sectional time-series regression analyses to account for interdistrict funding flows. We find that regardless of the precise motives of individual givers, in the aggregate, these flows are primarily partisan and strategic in nature, rather than access-oriented or expressive/identity-based. Funds are efficiently redistributed from a small number of highly educated, wealthy congressional districts to competitive districts wherever they may arise. Although funding flows seem to be guided by access-seeking and by identity expression, these effects are modest. Ties of monetary surrogacy are largely directed toward the achievement of partisan goals, as most out-of-district contributions are bound for competitive districts where the parties’ control of legislative seats is in doubt.

The Political Geography of Monetary Surrogacy

Monetary surrogacy as a type of representational relationship obviously does not conform to values of democratic equality: “Because all the power that is exercised in any surrogate representation works through monetary or other contributions . . . surrogate representation in the United States today embodies far more political inequality than does even the traditional legislator-constituent relation” (Mansbridge 2003, 523). Donors to congressional

campaigns are “overwhelmingly rich and well-educated” (Francia et al. 2003, 27). Inequity arises not only because some individuals have so much more to contribute than others, but also because wealthy people are not uniformly distributed throughout the country.

Wealthy, highly educated people in the United States are strikingly concentrated in geographic terms (Florida 2002; Massey and Eggers 1993). “The wealthy choose to cluster themselves geographically” (Shaw 1997, 551). “Affluence is even more highly concentrated spatially than poverty” (Massey 1996, 398). Clustering occurs not only at the neighborhood level, but nationally. America’s wealthy reside in a relatively small number of locations, primarily in locations proximate to the largest U.S. cities (Gimpel, Lee, and Kaminski 2006; Massey and Fischer 2003; Shaw 1997). Similarly, highly educated people in the United States congregate in what Florida (2006) describes as “means metros,” centers of economic and technological innovation characterized by markedly high housing prices. Geographic segregation along socioeconomic lines has been increasing over time in the United States (Mayer 1996), and “since 1950, affluent people have come to inhabit states and metropolitan areas characterized by concentrated affluence” (Massey and Fischer 2003, 29).

As a result of this, the “donor class” in congressional elections is likely to be concentrated in a relatively small number of congressional districts nationwide. The principle of one person, one vote ensures that voters are distributed fairly equally across congressional districts, but donors and potential donors are not. Members of Congress are likely to receive most of their out-of-district funds from residents of a relative handful of locations. Surrogate representation will have a territorial bias in that the geographic concentration of wealthy and educated people will link a few areas of the country to many members of Congress, while residents of most congressional districts will have representational ties to only one representative: their own.

What Drives Monetary Surrogacy?

By now it is well known that individuals contribute far more money to political campaigns than political action committees (PACS) or corporations do (Ansolabehere, deFigueiredo, and Snyder 2003; Thielmann and Wilhite 1989). In turn, survey research has shown that partisanship, political interests, ideology, and personal identity are all important motives for individual donors (Francia et al. 2003). Individuals forge ties of monetary surrogacy with representatives and candidates outside their district for each of these reasons (Mansbridge 2003, 522–23).

Distinct from the survey research on individual contributors, we seek in this article to account for the funding flows across districts. Even if many motives lead individuals to donate to faraway congressional campaigns, analysis of the flows themselves may suggest that one set of considerations better accounts for the overall movement of campaign dollars. Only by analyzing contribution streams directly is it possible to determine what calculations best account for aggregate patterns in these financial transactions, a matter that has received scant scholarly attention. Below we identify how each type of individual motivation might channel funds across districts. In the end, we contend that partisan and strategic motives better account for out-of-district funding flows than any other bases for surrogate representation.

Party identification is by far the most important predictor of an individual's voting behavior; securing partisan advantage is also a powerful motive for contributing to campaigns. Individuals donate out of party loyalty and a desire to enjoy solidarity with like-minded partisans at fundraising events (Brown, Powell, and Wilcox 1995; Ware 1992). Committed partisans are especially motivated "to contribute their money in close contests in order to maximize the number of legislators who support their political positions" (Francia et al. 2003, 51; Wilhite and Theilmann 1989). If this type of motive drives monetary surrogacy, out-of-district funds will flow disproportionately to closely contested races.

Donors who are concerned with advancing particular political interests invest in campaigns to enhance their access to officeholders (Francia et al. 2003). Such donors give primarily to powerful members of Congress in a position to affect their political interests (Jacobson 1980). If this type of calculation accounts for interdistrict funding flows, contributions will flow disproportionately to those members of Congress who are most capable of influencing policy outcomes: senior members of Congress, party leaders, members of the majority party, and members of important congressional committees.

Ideological commonality with nonlocal representatives provides another important kind of surrogate representation. People can feel represented by the presence of a Dennis Kucinich (D-OH) or a Mike Pence (R-IN) in the Congress regardless of whether they reside in those members' geographic constituency. Campaign donors are "substantially more likely than average citizens to find the liberal-conservative scale relevant to [their] political beliefs" (Brown, Hedges, and Powell 1980). Formal theorists have long viewed legislators' need to attract campaign funds as a key motivation to cultivate a nonmedian ideological profile (Aldrich 1983; Aldrich and McGinnis 1989; Moon 2004). If ideological motives channel fund-

ing flows, ideologically distinctive members will receive more out-of-district campaign funds.

Finally, citizens can feel a sense of connection to nonlocal representatives with whom they share a common personal identity. Representatives who are female, African American, Hispanic, or gay or lesbian often feel a sense of obligation to represent nondistrict constituents in their respective identity groups, particularly because the legislature includes "few, or disproportionately few, representatives of the group in question" (Mansbridge 2003, 523). Motivated by this identity-based form of surrogate representation, women may donate to female candidates; gays and lesbians to gay and lesbian candidates; and African American or Latino donors to minority candidates. If identity-based contributing forms an important part of global monetary surrogacy, congressional candidates from underrepresented or marginalized identity groups will attract additional funding from outside their districts.

Information Costs and Networks

Monetary surrogacy makes greater information demands on citizens than does voting for or contributing to local candidates. Constructing ties of surrogate representation requires citizens to identify and contribute to nonlocal candidates with whom they share commonalities of partisanship, identity, ideology, or interest. Generally speaking, such candidates will not have much media presence on area television or in local newspapers. They will not wage active local campaigns. To become engaged in the fundraising efforts of out-of-district candidates, citizens need to learn about them and come to believe that they will be a sensible investment of campaign dollars. Considering the information barriers involved, we must consider the networks and information flows that help individuals identify and become invested in the campaigns of candidates far removed from local politics. After examining these below, we conclude that party organizations are likely to be more important than ideology-, interest-, or identity-based groups in helping individual donors overcome these costs.

The literature on campaign finance has established that individuals contribute to campaigns in great part because they are *asked* to do so (Brown, Powell, and Wilcox 1995; Francia et al. 2003; Grant and Rudolph 2002). Citizens do not arrive at the decision to contribute alone as individuals, separate from solicitations and social pressures. Candidates with professional campaign operations raise more money than candidates who do not (Herrnson

1992). Appeals for money are even more effective when made by those who are able to bring social leverage to bear (Brady, Schlozman, and Verba 1999). Local, face-to-face networks in all their variety—friendships, families, and personal connections formed in workplaces, places of worship, and other civic associations—are integral to understanding the conditions under which individuals will be willing to contribute to campaigns (Cho and Gimpel 2007; Gimpel, Lee, and Kaminski 2006).

The national parties are well aware of these local networks, and they tap into them to exploit social pressures to mobilize campaign contributions. The parties recruit local elites throughout the country to “mine their networks of associates for potential contributors and additional solicitors” (Grant and Rudolph 2002, 35). Over the years, state and national party organizations have cultivated an “established pool of habitual givers” (Brown, Powell, and Wilcox 1995, 30). These donor lists are party resources, cultivated and utilized for the benefit of the party’s candidates generally. The national parties’ Hill committees share their donor lists with particular candidates “with the proviso that the candidates surrender their own lists to the committee after the election” (Herrnson 1998, 91). Candidates of the same party also exchange donor lists, and campaign consultants working with the party swap information (Doherty 2006). The same contributors are thereby solicited on behalf of many of the party’s candidates, not just their local representatives (Dominguez 2005).

Working with networks of local partisans, party committees raise campaign funds throughout the country, knowing that some locales are more donor-rich than others. Throughout an election cycle, party leaders monitor the closeness of elections and assess the need for cash infusions in particular races. This information is passed along to prominent local solicitors who then inform potential donors about the importance of their gifts, and where they should give them. Fundraising events headlined by prominent party figures—such as senators, governors, party leaders, vice presidents, first ladies, even presidents—also put otherwise obscure congressional candidates in touch with important contributors, both local and nonlocal. Mobilizing individual donors to contribute to particular candidates allows the national party committees to direct funds where they are most needed while sidestepping the limits on party assistance to candidates.

Through all these efforts, party organizations guide the flow of individual contributions to competitive contests. Parties thus greatly reduce the information costs of prospective individual donors.¹ Individuals do not need to

make a personal effort to track congressional races around the country before becoming involved as a donor in a nonlocal contest. Instead, donors need only to react to signals and solicitations organized by the parties. Individuals who have contributed to party candidates in the past will be contacted and asked to contribute again; new donors will be identified through their association with existing donors. The decision to donate to distant campaigns that are completely unfamiliar to locals is a straightforward result of the organizational efforts of party leaders and officials.

Ideology-, identity-, and interest-based organizations do not wage campaigns to coordinate individual donors comparable to those of the national parties. Rather than guide donors on an individual basis, these organizations normally prefer to centralize funding decisions by creating political action committees (PACs) and then directing funds to congressional elections. Although a few organizations, such as EMILY’s List, recommend a list of candidates to potential donors who are left free to contribute to the candidates of their choice, the use of PACs allows groups more control over the targeting of funds to particular races. This control also better enables groups to take and receive credit for the campaign funds they provide. Credit claiming for contributions is especially important for groups that seek access to officeholders rather than results in election outcomes.

Unlike the parties, then, groups generally do not foster relations of monetary surrogacy between representatives and individual donors; instead, they serve as intermediaries in which individual donors contribute to the group’s PAC and then the group directs PAC funds according to its own goals. Even if individuals’ party identity is no more important as a motive for political action than their ideological, interest-based, or other identity commitments, the political environment makes it more likely that the parties’ strategic goals will have a greater influence on the decisions of individuals to contribute funds in nonlocal races.

Data

Our data on campaign finance are comprised of the Federal Election Commission’s (FEC) publicly accessible files on individual contributors for each election cycle between 1996 and 2004.² While the FEC maintains data on contributions from both individuals and corporations and

²We chose the 1996–2004 time frame because we are primarily interested in the contemporary picture across a variety of election settings. We would have liked to include the 2006 contributions, but those were not yet available. A more historically oriented study

¹See Shachar and Nalebuff 1999 for a discussion of the same logic applied to voting participation in close races.

PACs, we examined only the individual contributions, not PAC/corporate donations. We focused on donations from individuals because of our interest in the phenomenon of monetary surrogacy, the financial relations between individual citizens and nonlocal representatives. Donations from individuals constitute the majority of all funds raised by candidates for Congress (Ansolabehere, de Figueiredo, and Snyder 2003; Herrnson 1998, 133–51).³

The FEC files include data on individual contributions of at least \$200 to all U.S. House of Representatives election campaign committees. Contributions from individuals in amounts less than \$200 are not itemized in the data, and so it was not possible to track these flows in and across districts. Notably, contributions from individuals in amounts less than \$200 only accounted for 10%–12% of candidates' total funds between 2000 and 2004.⁴ Because nonvoting members of the House present special issues in any study of representation, we excluded contributions to and from the U.S. territories (e.g., Guam, Puerto Rico, U.S. Virgin Islands) and the District of Columbia.⁵

For each contribution, the FEC files provide the zip code for both the contributor and the recipient.⁶ The FEC's zip code entries were largely complete, missing from less than 2% of all contributions, and a slightly larger percentage of contributions to House candidates alone.⁷ We were then able to use a geographic information system

(GIS) to locate zip codes within their congressional districts of origin, while the congressional districts of destination were identified by FEC codes. The next step was to aggregate together all contributions from and to each congressional district.

Origin zip code areas were occasionally split by congressional district boundaries. Our rule for assigning zip codes to congressional districts in these cases was to first identify the longitude and latitude coordinates of the "centroid," or geographic center, of the zip code, and then to assign the zip code to whichever congressional district contained that centroid. While this path inevitably wound up assigning some zip codes in their entirety to districts in which only a portion of the zip code actually resides, visual inspection of these cases revealed this problem to be small, introducing very little error—in part because rather few zip codes contribute any funds outside the district (Gimpel, Lee, and Kaminski 2006).

Our theoretical framework suggests that the instrument for securing surrogate representation is the financial contribution and that financial flows across district lines can inform our understanding of the relative importance of a variety of considerations known to stimulate contributor activity. In turn, our dependent variable is the gross transfer of funds from one district to another, or the total monetary inflow to recipient districts, and the total monetary outflow from sending districts, for each election cycle. The figures we present also distinguish nonresident donations flowing to and from adjacent districts.⁸ The considerations that lead individuals to contribute to contests in neighboring congressional districts may differ from those that motivate them to give to contests in distant districts. Contributors may work for or own a business in one district while living in a neighboring district. Alternatively, a donor may have a longstanding relationship with a member who is redistricted into a neighboring district. To take account of potential differences in funds flowing from nearby and distant nonresidents, we group nonresident contributions based on whether they flow from or to contiguous congressional districts.

Patterns in Monetary Surrogacy

Contemporary campaigns for Congress rely heavily on out-of-district donations. Figure 1 displays the out-of-district percentage of itemized individual contributions for all House races in 2004. A nontrivial proportion of

of funding flows is hampered by the declining quality of FEC data as one extends back in time.

³Contributions from PACs account for approximately 40% of campaign funds for the years in the study. See also the web site of the Center for Responsive Politics: <http://www.opensecrets.org/bigpicture/wherefrom.asp?Cycle=2004&focus=P>.

⁴Data drawn from the web site of the Center for Responsive Politics: <http://www.opensecrets.org/bigpicture/wherefrom.asp?Cycle=2004&focus=P>.

⁵These districts raise both methodological and theoretical difficulties. Because these members do not have the vote, they do not change the balance of power in the chamber and therefore will not attract the strategic partisan dollars in the same way that other districts do. Demographic data for these districts is also not as readily available, and we would be faced with missing data for some of our explanatory variables.

⁶Of course it is possible to model the origin-destination relationship in terms of dyads rather than as origin and destination separately, generating a 435×435 matrix (189,255 cells) of origin-destination_{ij} pairs, with dependent variable, Contribution_{ij}. We have pursued a simpler node-to-node analysis here as a means for gaining substantive insight into the nature of sending and receiving districts, but future research plans include the analysis of origin-destination interactions and specific types of origin-destination matchups.

⁷By cleaning these files we were able to reduce the number of unreported zip codes to a small proportion of the file for each year. Missing zip codes could be filled in when we found that the same individual had made other contributions for which records were complete.

⁸We thank our reviewers for suggesting this important additional analysis.

FIGURE 1 Distribution of the Out-of-District Percentage of All Itemized Contributions to U.S. House Campaigns, 2004

districts rely almost entirely on nonresidents. Eighteen percent of districts received 90% or more of their total itemized individual contributions from nonresidents. Less than one-fifth of districts raised even a majority of funds locally. Although FEC data do not allow us to track the behavior of small donors (contributions of <\$200), earlier work strongly suggests that this picture would not change if these data were included. Data on small donors available in 1977–78 showed that the proportion of within-district money among small donors was only 3% higher than the proportion originating from large donors (Grenzke 1988, 86).⁹

Contemporary campaigns are more dependent on out-of-district donations than they were in the past. Figure 2 displays the average percentage of contributions from outside the district for all House races each year from 1996 to 2004. During the late 1970s, candidates re-

ceived approximately half (48%–53%) of their funds from outside the district (Grenzke 1988, 85). On average from 1996 to 2000, by comparison, congressional campaigns received 63% of their total itemized individual donations from outside the district. By 2002 and 2004, nondistrict residents provided, respectively, 68% and 67% of the typical candidate's total itemized individual contributions. It is also notable that the average number of districts from which contributions are sent has been steadily rising (see Figure 2). In 1996, for example, a typical congressional district could be expected to receive contributions from 55 other districts. By 2004, however, contributions were flowing in from an average of 70 districts (see Figure 2). Flows of capital in congressional campaigns have become more nationalized.

The bulk of nonresident campaign contributions come from donors residing in distant congressional districts. Indeed, more than twice as much money comes from distant nonresidents than from residents of adjacent districts. The typical district receives only 22% of its individual itemized contributions from nearby nonresidents. Meanwhile, fully 45% of all itemized individual

⁹Another study by McAdams and Green (2002) concludes that differences between large and small contributors can easily be exaggerated. Based on a survey of campaign contributors, they conclude that the two types of donors differ little from one another in their motives and attitudes.

FIGURE 2 Mean Percentage of Large Individual Contributions from Other Congressional Districts, and Number of Other Contributor Districts, by Election Year

contributions are received from donors who reside neither in the district nor in adjacent districts. Funding flows in congressional elections are not primarily the result of local individuals contributing to races in the most proximate districts. In this sense also, these funding flows are nationalized, not local, transactions.

Table 1 provides a first look at the characteristics of the major donor and recipient districts.¹⁰ The table presents a basic profile of the top decile and quartile of donor districts in 2004, which, respectively, accounted for fully 40% and 62% of all funds redistributed across congressional districts nationwide.

As expected, donor districts contain the nation's educational and economic elite. Compared to the typical district, residents in donor districts are far wealthier: median income in the top decile of donor districts is more than a full standard deviation higher than in the typical congressional district. The top decile of donor districts also contains twice as many high-income residents (those

with family incomes of >\$150,000) as the typical district. Residents in the top donor districts are more likely to have a college degree than in the average congressional district. Neither Democratic- nor Republican-leaning districts are significantly overrepresented among recipient or donor districts.¹¹

The data on population density reveal that the major donor districts are located in populous metropolitan areas. Consistent with previous research showing that wealthy people are heavily concentrated in the nation's key metropolitan areas, we find that donor districts are more urbanized than the typical district; this is particularly true for the top decile of donor districts. Along the same lines, the proportion of the population engaged in farming is dramatically lower in donor districts than in the typical district. Also reflecting their metropolitan location, donor districts tend to be representative of the nation as a whole in terms of racial composition.

¹¹The top 25th percentile of donor districts is more Democratic than the average district. However, when we entered % *Democratic* into our multiple regression models of funding imports and exports shown later in the article, we found that variable did not afford a statistically significant improvement for any model.

¹⁰These are the districts that, in gross terms, export the most funds across district lines and those that import the most funds from nonresidents.

TABLE 1 Characteristics of Donor and Recipient Districts in the Top Decile and Top Quartile Compared with the Average House District, 1996–2004 Election Cycles

Variable	Donor Districts		Recipient Districts		All Districts	
	Top 10% Mean	Top 25% Mean	Top 10% Mean	Top 25% Mean	All Mean	All SD
Median Income	\$53,044.3*	48,697.0*	45,438.0*	44,325.8*	40,725.2	11,634.5
% High Income	9.2*	6.9*	5.1*	4.7*	3.9	3.4
% Professional	26.9*	23.6*	20.2*	18.9*	17.2	11.4
% College Educated	36.8*	31.8*	26.0*	25.1*	23.2	9.1
% Elderly	12.1	12.1	12.0	12.1*	12.4	3.1
% Black	11.8	12.5	10.7	10.3*	12.4	15.8
Population Density	16,216.1*	12,374.5*	8,414.2	8,477.1	8,315.3	21,455.7
% Farm	.3*	.4*	.5*	.7*	1.0	1.6
% Democratic	50.2	51.4*	47.6	47.7	48.5	24.2
% Rated Competitive	7.0*	10.0	32.0*	30.0*	12.0	33.0
N	218	544	218	544	2,175	2,175

Source: U.S. Census Data for 104th through 108th Congressional Districts, and authors' calculations. * $p \leq .05$ two-tailed t-test of difference in means between these districts and remaining districts.

The distinctive profile of donor districts points to the presence of a geographically distinct “donor class.” The same districts fall into the major donor category year after year, reflecting the presence of wealthy individuals and established networks of contributors. Districts that rank in the top decile for each of the Congresses from the 104th to the 108th include the affluent Los Angeles area district of Henry Waxman (D-CA) and the equally wealthy Manhattan districts of Carolyn Maloney (D-NY), Jerrold Nadler (D-NY), and Gary Ackerman (D-NY). The Florida districts represented by Debbie Wasserman-Shultz (D-FL) and Ileana Ros-Lethinen (R-FL) consistently rank highly as exporters of funds to other parts of the country, as do the affluent districts that encompass Lake County, IL (north suburban Chicago), Montgomery County, MD (suburban Washington, DC), and Bergen County, NJ (suburban New York City). The Virginia suburbs of Washington, DC, also rank near the top in giving, as do Seattle, Washington, and suburban Atlanta and Minneapolis.

To illustrate these districts' importance to congressional campaigns nationwide, we map the contribution outflows from two important donor districts in 2004. Using a GIS (geographic information system), we are able to explore network links, using directed lines to depict resource flows.¹² Accordingly, Figures 3 and 4 track the destinations of funds originating in California's 30th district

(represented by Henry Waxman) and New York's 18th district (represented by Nita Lowey), with heavier (thick green) lines indicating outflows of larger dollar amounts. Each district generated substantial sums for congressional races throughout their regions and across the nation.

Table 1 also provides demographic data on the top recipient districts. Interestingly, there is nothing redistributive about the interdistrict flow of campaign funds in congressional elections. Campaign funds *do not* flow to districts that are in any sense disadvantaged. Poor districts, rural districts, and districts with lower education levels or higher proportions of racial minorities do not receive any boost in campaign contributions. The top decile and quartile of recipient districts—which, respectively, garnered fully 39% and 66% of all out-of-district contributions made in 2004—are not generally different from the typical congressional district in demographic terms. Recipient districts are typical of all districts in terms of college education, population density, and race.

By contrast to donor districts, then, recipient districts do not represent a distinct socioeconomic class. Instead, the only strikingly atypical characteristic of these districts is the intensity of competition for these seats. As Table 1 shows, nearly one-third of the districts in the top recipient decile were rated as competitive by *Congressional Quarterly*. Considering that only 6% of House races nationwide were assessed as competitive in 2004, this means that literally all of the competitive races were top recipient districts. The location of highly competitive congressional races varies greatly from cycle to cycle, depending

¹²All flow maps were generated using the GIS Flow Data Model developed by Alan Glennon and Michael Goodchild (2005) at the University of California, Santa Barbara, building on earlier work by Waldo Tobler (1981, 2003).

FIGURE 3 Contribution Outflows of Greater than \$20,000 from California District 30 in the 2004 Election Cycle

FIGURE 4 Contribution Outflows of Greater than \$20,000 from New York District 18 in the 2004 Election Cycle

FIGURE 5 Contribution Inflows of Greater than \$20,000 to Colorado District 7 in the 2004 Election Cycle

on the availability of open seats and idiosyncratic local factors, including scandals and the emergence of robust challengers.

Figure 5 illustrates the capacity of a competitive congressional race to magnetize donations from congressional districts all across the country. In 2004, the race to represent Colorado's 7th district featured Rep. Bob Beauprez, who had first won his House seat by only 121 votes. Furthermore, he was running to represent a newly configured district, and polls had shown him and his Democratic opponent in a dead heat throughout the summer preceding the election. As shown in Figure 5, these powerful indicators of competitiveness attracted funds from virtually every wealthy metropolitan area throughout the country.

The dominant pattern in the cross-district funding flows is for individual donations to flow out of a small number of wealthy districts into a small number of competitive districts. On both sides—donation and

recipient—funds are highly concentrated. Table 2 confirms this systematically for the 2004 election cycle. A mere 5% of congressional districts accounted for more than a quarter of all nonlocal money in congressional campaigns; 20% of congressional districts provided an outright majority. The same degree of focus is evident on the receiving side. Just 15% of districts received fully half of all the nonlocal money contributed nationally; 25% of districts received three-quarters of the funds. Unlike donor districts, however, recipient districts change considerably from cycle to cycle, requiring highly strategic behavior on the part of individual contributors in adjusting to different electoral conditions from year to year. Considering the great commitment of time and energy that would be required for individuals to monitor congressional races all around the country, these markedly concentrated flows of funds to competitive districts almost certainly reflect the parties' ability to create and institutionalize networks and information flows among active donors.

TABLE 2 Concentration of House Districts Receiving and Donating Out-of-District Funds in the 2004 Election Cycle

Recipient Districts		Donor Districts	
% of Recipient Districts	% of Total Out-of-District Funds Received	% of Donor Districts	% of Total Out-of-District Funds Contributed
2%	13%	2%	15%
5%	24%	5%	27%
10%	39%	10%	40%
15%	50%	15%	49%
20%	59%	20%	56%
25%	66%	25%	62%
30%	72%	30%	68%
35%	77%	35%	73%
40%	80%	40%	77%
45%	84%	45%	80%
50%	87%	50%	84%

Interpretive Note: Figures above indicate what percentage of districts received what percentage of total out-of-district funds. Example: 20% of districts received 59% of total out-of-district funds.

Interpretive Note: Figures above indicate what percentage of districts donated what percentage of total out-of-district funds. Example: 15% of districts donated 49% of total out-of-district funds.

Source: FEC files and authors' calculations.

Explaining District Outflows and Inflows: Methods

The descriptive data point to an account of monetary surrogacy dominated by partisan motives and information flows, but we want to systematically assess the presence of patterns that reflect different kinds of surrogate representation ties. To what extent do interdistrict funding flows reflect representational concerns with ideology, personal identity, and other political interests?

To obtain a better understanding of interdistrict funding flows and to introduce appropriate control variables, we model the flows of funds into and out of congressional districts using cross-sectional time-series data across five election cycles. To determine whether patterns differ for contributions to and from adjacent districts, each model is also separately estimated for local and distant nonresident contributions. Since N is very large relative to t , our dataset is cross-sectionally dominated, or a panel. The model controls for individual election cycles to allow the intercepts to vary by year.

The estimation proceeds via the method of maximum likelihood, which produces efficient estimates similar to generalized least squares estimation with random effects, where the over-time error component of the model is not assumed to be a fixed parameter but is treated as a random variable (Judge et al. 1980, 327–38; Wooldridge 2002,

chap. 10). This procedure utilizes the over-time variation in the data to generate more efficient estimates than a fixed-effects estimator that would discard this variation, replacing it with a mean value. The estimation method also allows us to use all of the available data, including new and altered districts created after the separate rounds of redistricting that occurred in 2002 and 2004.¹³ Because this estimation procedure accounts for the over-time change in the dependent variable, we ensure that the standard errors are not underestimated—leading to faulty inferences about statistically significant effects.¹⁴ We also tested the individual cross-sections in the panel for spatial autocorrelation, using several distance and nearest-neighbor criteria, but did not find it to be a significant problem for any of the dependent variables of interest. Neither donor districts nor recipient districts, nor the dollar amounts that either contributed or received, exhibited any significant spatial dependency.¹⁵

¹³The specific estimation procedure we implement for this unbalanced panel is XTREG in the statistical software *Stata*TM. The results were similar to results generated across other cross-sectional time-series estimation procedures, such as XTGLS.

¹⁴Using OLS to estimate the model would ignore serial correlation in the error term, providing incorrect estimates of standard errors and corresponding test statistics.

¹⁵Statistical tests for spatial dependency in the observations were conducted with the statistical software *GeoDA*TM.

Inflows

Table 3 reports results from a model of receipts from nonlocal contributors in congressional races from 1996 to 2004. The third column of the table shows the model for all receipts from nonresident contributors; the first and second columns report results for receipts from local and distant nonresident donors separately. The findings strongly reinforce the inference that the flow of out-of-district contributions is primarily partisan and strategic in nature. However, the results do offer evidence that other considerations—access-seeking and expressive/identity purposes—also channel nontrivial cross-district funding streams.

The competitiveness of a seat is a powerful magnet for contributions from outside the district. The models include three measures of district-level competitiveness: whether the race is for an *open seat*, *current competitiveness* (as rated by *CQ Weekly Report*), and *previous competitiveness* (the difference between the Democratic and Republican percentage of the vote in the immediately preceding contest, subtracted from 100; higher scores indicate greater competition).¹⁶ In every model, all three of these measures of competitiveness predict surges of campaign funds into the district from nonresident individual contributors ($p \leq .001$). Campaigns for open seats received \$365,300 more from nonresidents, on average, than campaigns in incumbent-occupied districts. Competitive elections garnered \$332,213 more than those that were safe for one party or the other. Even after controlling for more immediate measures of competitiveness, past competitiveness also mattered, with campaigns receiving an additional \$19,919 for every 10-point increase in the closeness of the district's previous House race. The flow of nonlocal individual contributions unquestionably follows the strategic logic of political competition.

The power of competition to attract money from nonresidents strongly suggests that interdistrict funding flows are guided by partisan networks. The separate models for receipts from local and distant nonresidents show that distant donors are no less responsive to measures of fierce competition than local donors, even though they would have much greater difficulty finding out about competitive races on their own. The national news media do not devote much coverage to congressional elections until quite late in election season, long after candidates have raised most of their funds. Research on the com-

petitiveness of congressional elections requires considerable effort even in the era of the World Wide Web, Lexis-Nexis, and Google, and it would have been far more difficult and time-consuming in the early years of our study before these electronic resources were widely available.¹⁷ Partisan coordination, rather than individual initiative, offers a more plausible account of this highly patterned behavior.

These results suggest the importance of partisan network coordination in a second very important way: distant nonresident donors do not boost their contributions when there is a contested primary while local nonresident donors do (see Table 3). Given that party organizations are far more important during general elections than during nomination contests, this is precisely what one would expect. Unlike local nonresidents, distant residents would have to actively seek out information individually in order to become familiar with candidates running in primaries. Our results clearly suggest that they do not do so. Competition in primaries prompts local nonresidents to contribute, but has no statistically significant effect on distant nonresidents. Without party networks mobilizing to raise funds throughout the country, distant nonresidents do not take much interest in the outcomes of nonlocal nomination contests. It is therefore not competition, per se, that prompts distant nonresident donors to give. It is *two-party* competition and thus the desire to influence the partisan composition of Congress. Local nonresidents contribute more when there is either primary or two-party competition, but *distant nonresidents respond unambiguously only to two-party competition*.

The findings provide some support for the hypothesis that monetary surrogacy is motivated by access-seeking, particularly in the case of far-off donors. Campaigns in districts represented by elected *leadership* in Congress received a notable boost in funding from nonlocal contributors ($p \leq .02$), all else being equal. Hence, Tom Delay (R-TX), Newt Gingrich (R-GA), Dennis Hastert (R-IL), and Richard Gephardt (D-MO) each benefited from substantial inflows as a result of their influence as party principals. Controlling for the competitiveness of the seat and other district characteristics, additional outside money also migrated to districts represented by *Republicans* ($p \leq .02$), the majority party during this era. However, we did not find that districts represented by

¹⁶Representative Bernard Sanders (I-VT) is counted as a Democrat for purposes of making this calculation.

¹⁷Nevertheless, nonlocal contributions were important to congressional campaigns in the 1970s and 1980s (Grenzke 1988), and funds flowed efficiently to competitive districts even in the earliest campaign year in our dataset (1996).

TABLE 3 Predictors of Receipt of Out-of-District Individual Contributions, Campaigns for the U.S. House, 1996–2004

Variable	Local Contiguous	Distant Non- Contiguous	All Districts
<i>Partisan/strategic</i>			
Primary Contest	15,343.14* (6,954.76)	33,461.52 (20,856.91)	48,988.59* (23,834.61)
Open Seat	140,339.10* (10,704.06)	227,233.51* (32,286.62)	365,300.11* (36,779.58)
Previous Competitiveness	496.96* (126.90)	1,520.47* (376.72)	1,991.91* (433.85)
Current Competitiveness	90,694.76* (9,293.79)	242,273.12* (27,932.12)	332,212.81* (31,883.17)
<i>Access-oriented</i>			
Seniority	−1,532.08* (466.77)	874.90 (1,365.61)	−608.93 (1,587.99)
Leadership	10,716.38 (16,568.12)	148,685.71* (49,476.59)	149,502.61* (57,011.59)
Republican	12,138.61 (8,389.44)	53,066.55* (24,073.65)	66,126.35* (28,368.79)
Banking Committee	2,944.20 (10,162.13)	−16,649.34 (29,816.19)	−13,553.29 (34,580.89)
Appropriations Committee	−12,752.19 (10,705.33)	−16,866.84 (31,227.82)	−29,141.29 (36,393.07)
Ways and Means Committee	−9,870.34 (13,356.48)	−40,458.25 (38,486.72)	−48,423.31 (45,150.63)
Energy Committee	−6,589.49 (11,163.04)	−10,674.47 (32,421.94)	−16,707.61 (37,827.45)
<i>Expressive/identity</i>			
Ideological Extremism	58,952.03* (18,199.41)	115,255.91* (54,633.76)	172,283.12* (62,425.15)
Woman	−23,769.56* (11,306.55)	18,996.46 (32,925.73)	−111.42 (38,493.04)
Gay	−42,595.65 (43,322.36)	−133,071.52 (1,25,488.12)	−175,144.91 (146,937.51)
Black	−19,787.34 (17,198.38)	−26,193.96 (48,498.13)	−45,334.26 (57,849.92)
Latino	−23,982.72 (21,488.29)	1,03,298.72 (61,505.22)	77,540.96 (72,631.72)
<i>Resources/demographics</i>			
Population Density	.16 (.23)	1.10 (.65)	1.23 (.78)
Percent Professional	1,372.98 (863.22)	1,973.33 (2,577.24)	2,993.94 (2,961.91)
Percent High Income	2,958.62* (1,508.29)	7,103.75 (4,399.97)	10,047.62* (5,125.35)
Percent Elderly	−4,606.72* (1,452.01)	3,017.73 (4,063.31)	−7,485.64 (4,872.65)

(Continued)

TABLE 3 Continued

Variable	Local Contiguous	Distant Non- Contiguous	All Districts
<i>Controls for election cycles†</i>			
1998	19,904.25 (18,870.19)	16,377.82 (56,698.02)	30,963.50 (64,801.37)
2000	56,577.44* (18,972.56)	140,758.3* (57,011.8)	191,625.7* (65,164.49)
2002	81,397.03* (18,891.94)	104,362.72 (56,783.13)	180,023.11* (64,895.26)
2004	110,402.12* (10,499.62)	128,695.10* (31,285.35)	241,431.30* (35,932.97)
Constant	-28,453.91 (34,639.54)	-112,368.41 (101,550.10)	-128,384.21 (118,104.80)
Σ_u	81,559.42 (4,097.78)	213,118.09 (12,887.55)	268,219.70 (15,219.11)
Σ_e	114,945.00 (1,976.70)	349,983.31 (6,143.07)	395,862.81 (6,973.22)
ρ	.33 (.02)	.27 (.03)	.31 (.03)
log likelihood	-28,691.67	-31,066.36	-31,365.74
χ^2	665.68	285.74	463.21
χ^2 prob.	$p \leq .0001$	$p \leq .0001$	$p \leq .0001$
N	2,174	2,174	2,174

Dependent variable is total itemized contributions received from out-of-district individual contributors.

Cross-Sectional Time-Series Regression, MLE Estimation.

Cell entries are regression coefficients (standard errors); * $p \leq 0.05$, two-tailed test.

†1996 is the excluded baseline election cycle.

members serving on powerful committees in Congress—Banking, Appropriations, Ways and Means, or Energy—enjoyed increased funding streams from either local or distant nonresidents.¹⁸ Furthermore, none of the access-oriented factors had a statistically significant positive effect on local nonresident contributions. Individual campaign donations appear to reflect access-seeking to only a limited extent. Research has previously suggested that access-oriented giving is a strategy pursued more by PAC and corporate givers than by individual donors (Herrnson 1998).

Finally, it appears that nonresident contributors donate for expressive purposes. We found that campaigns in

districts represented by more ideologically extreme members secured additional nonlocal funding from individual contributors, even after accounting for the competitiveness of the contest. *Ideological extremism* is measured by the folded DW-Nominate score. A one-standard deviation increase in either a member's liberalism or conservatism generated an additional \$29,300 in nonresident money into that district's campaign ($p \leq .01$): less than one-third the impact of competitiveness estimates, but still not a trivial influence. Moreover, both local and distant nonresident donations are affected by ideological intensity. Even when the seat is not especially competitive, nonresident contributors receive some expressive utility from giving to a campaign supporting or opposing one of the House's most ideologically well-defined members. However, we did not find that districts represented by members of disadvantaged or minority groups collected additional funding from outsiders. Indeed, the

¹⁸Among "powerful committees in Congress" we include the committees with the broadest jurisdictions (e.g., Appropriations, Ways and Means, Energy) and those with jurisdictions over moneyed interests that, in turn, contribute heavily to campaigns (all of the previously listed committees plus Banking).

results suggest that these members may even experience more difficulty raising money from residents of adjacent districts.¹⁹

Reliance on Out-of-District Funds

The preceding analysis examined funding flows into districts in absolute dollars, but we are also interested in what makes districts more reliant on outside funding. Do races become so interesting to far-flung nonresidents that outside money literally overwhelms local sources of funding? Using the same independent variables shown in Table 3, we constructed a model of the *percentage* of itemized individual contributions provided by nonresidents. Table 4 presents the results of a model predicting districts' overall reliance on nonresident contributions, as well as models of the percentage of nonresident contributions coming from distant and nearby districts.

Interestingly, there is little evidence that competitive districts are more dependent on outside contributions. Even though these contests attract enormous sums of money from outside the district, these races are not merely proxy battles between interested outsiders. Instead, the findings clearly indicate that competitive races are overall neither more nor less dependent on nonresident contributions than uncompetitive races. The coefficients for *open seat*, *previous competitiveness*, and *current competitiveness* take conflicting signs and are statistically insignificant. The only positive, statistically significant effect for competition is that *open seat* contests draw a larger proportion of their funds from nonresidents living in nearby districts. Generally speaking, it appears that competitive contests induce district residents to dramatically step up their contributions to match the inflows from nonresidents.

By contrast, districts represented by powerful members of Congress do become more reliant on external sources of funding quite far from home. The *seniority* of a representative is associated with larger proportions of outside money, with each additional year of service boosting the percentage of itemized individual contributions coming from nonresidents by 0.43 ($p \leq .001$). Cam-

paigns in districts represented by members in elected *leadership* positions also receive a greater percentage of their large individual contributions from distant locales. As in Table 3 above, however, we do not find that representation on powerful committees affects a district's share of funds flowing from outsiders. Influential members of Congress are not able to rely more heavily on funds raised from nearby nonresidents, however. Both *leadership* and *seniority* take negative coefficients for local nonresidents, indicating that the overall positive effect of these variables is the result of these members' ability to attract funds from across the country, not from neighbors.

Consistent with the findings for absolute dollars received from nonresidents (Table 3 above), districts represented by members from underrepresented or minority groups do not rely more heavily on nonresident donors. In particular, districts represented by women, African American, and openly gay/lesbian members of Congress are not attracting a greater proportion of out-of-district funds than others do. Only districts represented by Latino members of Congress garner a greater share of their large individual contributions from outside the district ($p \leq .01$). Notably, however, the separate analyses for funds drawn from distant and local nonresidents indicate that members from these underrepresented groups do enjoy some ties of monetary surrogacy with donors around the country. As shown in the model for noncontiguous nonresident contributors (column 2), districts represented by women and Latino members do rely more on funds from distant nonresidents ($p \leq .01$). These same coefficients for districts represented by African American ($p \leq .11$) and gay members are also positive, though they do not reach statistical significance. However, these districts appear less able to rely on *local* nonresident donors. Districts represented by each category of minority officeholder receive a smaller proportion of funds from nearby nonresidents, and the coefficients are statistically significant ($p \leq .01$) for both women and Latinos. The difficulties that these representatives face in raising money from local nonresidents offset the benefits that they receive from the ties of monetary surrogacy throughout the country.

Finally, the results show that a district's reliance on out-of-district contributions is not a function of its residents' lack of resources. As Table 1 revealed, cross-district funding streams in congressional elections are not redistributive from rich to poor. Districts without many professionals or high-income residents do not depend on outsiders for funding more than do other districts. The coefficients for these variables take conflicting values and are not statistically significant.

¹⁹Palmer and Simon (2006, chap. 6) show that districts electing women representatives tend to be more liberal, more urban, more educated, and wealthier than districts electing men. Similarly, most Latino representatives represent urban areas. Because most female and Latino representatives are Democrats in urban areas, the difficulty that such incumbents have in raising money from nearby nonresidents may partly stem from the relatively more Republican cast of "collar counties" surrounding urban areas.

TABLE 4 Predictors of Reliance on Out-of-District Contributions, Campaigns for the U.S. House, 1996–2004

Variable	Local Contiguous	Distant Non- Contiguous	All Districts
<i>Partisan/strategic</i>			
Primary Contest	.97 (.69)	–.30 (1.08)	.62 (1.06)
Open Seat	2.48* (1.05)	–2.54 (1.66)	.02 (1.62)
Previous Competitiveness	.01 (.01)	.01 (.02)	.02 (.02)
Current Competitiveness	.49 (.92)	–.56 (1.45)	.01 (1.41)
<i>Access-oriented</i>			
Seniority	–.15* (.05)	.43* (.08)	.28* (.07)
Leadership	–1.27 (1.66)	8.59* (2.61)	7.14* (2.56)
Republican	–.58 (.91)	–.57 (1.39)	–1.13 (1.39)
Banking Committee	2.37* (1.05)	–1.57 (1.63)	.85 (1.60)
Appropriations Committee	–.41 (1.12)	–2.68 (1.73)	–3.17 (1.72)
Ways and Means Committee	–.09 (1.42)	.75 (2.19)	.68 (2.18)
Energy Committee	–1.44 (1.16)	–.02 (1.80)	–1.47 (1.79)
<i>Expressive/identity</i>			
Ideological Extremism	.02 (1.80)	1.64 (2.84)	1.73 (2.78)
Woman	–2.45* (1.20)	3.71* (1.85)	1.30 (1.83)
Gay	–5.51 (4.60)	.41 (7.09)	–5.01 (7.05)
Black	–1.83 (1.95)	4.70 (2.94)	2.76 (2.98)
Latino	–4.93* (2.35)	12.68* (3.58)	7.87* (3.58)
<i>Resources/demographics</i>			
Population Density	.000002 (.00003)	.00005 (.00004)	.00004 (.00004)
Percent Professional	.07 (.09)	.14 (.14)	.22 (.13)
Percent High Income	–.07 (.16)	–.24 (.25)	–.34 (.24)
Percent Elderly	–.54* (.19)	.22 (.25)	–.32 (.26)

(Continued)

TABLE 4 Continued

Variable	Local Contiguous	Distant Non- Contiguous	All Districts
<i>Controls for election cycles†</i>			
1998	2.31 (1.87)	-1.14 (2.94)	1.47 (2.87)
2000	1.67 (1.88)	.19 (2.96)	2.17 (2.89)
2002	6.33* (1.87)	-.82 (2.95)	5.81* (2.87)
2004	8.52* (1.06)	-8.51* (1.66)	.02 (1.63)
Constant	18.58* (3.64)	40.52* (5.61)	58.75* (5.58)
Σ_u	10.72 (.45)	15.41 (.66)	16.15 (.68)
Σ_e	11.08 (.19)	17.60 (.30)	17.12 (.29)
ρ	0.48 (0.02)	0.43 (0.02)	.47 (.02)
log likelihood	-8,693.69	-9,665.48	-9,630.81
χ^2	216.79	105.93	69.91
χ^2 prob.	$p \leq .0001$	$p \leq .0001$	$p \leq .0001$
N	2,174	2,174	2,174

Dependent variable is the percentage of itemized individual contributions from out-of-district individual contributors.

Cross-Sectional Time-Series Regression, MLE Estimation.

Cell entries are regression coefficients (standard errors); * $p \leq 0.05$, two-tailed test.

†1996 is the excluded baseline election cycle.

Understanding Outflows

Finally, we wanted to reach a better understanding of the forces that enable districts to export funds to congressional races elsewhere. Table 1 above showed that a prominent presence of the “donor class”—wealth, education, professional employment, metropolitan context—was the primary determinant of a district’s propensity to send funds elsewhere. Are such residents motivated by a lack of party competition in their own local races to send their contributions elsewhere? Do they export less money when there is a competitive race closer to home? Table 5 displays the results of a model of the amount of funds residents of districts contribute to nonlocal congressional races.

As expected, districts that exported large sums are principally those with substantial means to do so: locations where there are high levels of professional em-

ployment and larger percentages of households earning more than \$150,000 per year. Wealth matters most: for every 5-point increase in the percentage of households earning above \$150,000, the district sends an additional \$272,000 beyond its borders. Population density is also of great importance, reminding us that the donor districts are disproportionately situated in major metropolitan areas. Districts that dispatch the greatest sums over the longest distances are likely to be urban, as Figures 3 and 4 illustrated.

Remarkably, these contributors appear to be completely unaffected by the presence of a locally competitive contest. Local political winds have no statistically significant effect on the amount of money a district sends somewhere else. When there is an open or a competitive seat, these residents appear to just dig deeper into their pockets to finance both the local race and provide their usual level of assistance to high-profile races around the country.

Representation and Monetary Surrogacy

"The national party comes into New York, does significant fund-raising here, and then there's very little in the way of national support for statewide races."

—John Faso, New York gubernatorial candidate, 2006

"New York is quite expensive, and we only go where we think we can make a difference in close races."

—Republican National Committee official

As Mr. Faso observes, some areas of the United States—parts of New York in particular—have become "a political A.T.M." (Healy 2006, B1) for campaigns throughout the United States. Candidates for Congress raise the majority of their campaign funds outside their own districts, and they do so from a relatively small number of these political A.T.M.s. Segregation on the basis of wealth and education has created a geographically distinct donor class, and a few congressional districts account for the bulk of all nonlocal money in congressional elections. Compared to the average congressional district in the United States, residents of the political A.T.M.s are disproportionately wealthy, urban, highly educated, and employed in elite occupations.

Residents in these districts establish ties of "monetary surrogacy" (Mansbridge 2003, 523) with nonlocal representatives. The evidence in this article suggests that they do so for a variety of reasons—to pursue their interests and to produce (by their lights) a more representative legislative body in terms of ideology and identity. But, like the anonymous RNC official quoted above, interdistrict funding flows are primarily channeled toward advancing *partisan goals*. Nonresident donors seek to influence outcomes in "close races," where it is possible to "make a difference." Out-of-district contributions respond to every indicator of a congressional contest's competitiveness. Nonlocal money in congressional races flows, in very coordinated fashion, to competitive seats. Although congressional leaders and majority party members attract more than average amounts of out-of-district funds, nonresident campaign contributions chiefly serve to augment the intensity of closely contested races, rather than to overstuff the war chests of powerful members of Congress.

Perhaps our most remarkable finding from this research is thus the degree to which monetary surrogacy links donors and nonlocal representatives on the basis of partisanship. Although survey research has shown that individual donors are motivated by a variety of goals—including political interests, partisanship, ideology, and personal identity (Francia et al. 2003)—we found that overall funding flows in congressional campaigns boil down fundamentally to strategic partisanship. Interdistrict transfers of donations in congressional elections are explained more by donors' partisanship than by any other sources of social identity (race, gender, sexual orientation).

Most nonresident money is raised in a small number of districts, and these funds are efficiently redirected to the districts where two-party competition is fierce. We do not see any redistribution of funds from rich districts to poor districts or from urban districts to rural districts. Recipient districts are not unusual in any demographic or economic sense. Their only notable distinction, at least over this period, is the presence of a competitive contest.

Although these findings are consistent with the results of survey research on individual donors, such highly concentrated funding flows would not have been predicted simply from an inventory of the motives of individual donors alone. Instead, these findings point to the preeminent role for partisan coordination of out-of-district donations. If donors acted only on their own initiative on the basis of their own individual motives, we would probably have seen greater effects for personal identity and access-seeking, considering the well-known importance of these factors to individual donors. Instead, the efficiency with which funds are harvested in rich districts and steered toward competitive districts strongly suggests that partisan networks manage the overall flow of funds. The logic of competition simply overwhelms the effects of other sources of influence in accounting for where money flows in the contests for control of seats in the U.S. Congress. Even though competition is very important to fundraising, the body of research on individual contributors would not have led us to expect it to tower over the other reasons for monetary surrogacy to the extent that it does.

Another primary conclusion from this research is that surrogate representation has a territorial bias—as out-of-district contributions do not originate from a random set of locations. Relations of monetary surrogacy are not "nonterritorial." Contributions come from people living in particular places and not others. Some parts of

TABLE 5 Predictors of Districts' Financial Exports to Out-of-District Congressional Contests, 1996–2004

Variable	Local Contiguous	Distant Non- Contiguous	All Districts
<i>Local competitiveness</i>			
Primary Contest	−6,478.18 (5,957.39)	13,446.56 (9,686.09)	8,240.14 (12,350.32)
Open Seat	351.90 (9,064.44)	−7,291.08 (14,543.21)	−7,055.95 (18,557.48)
Previous Competition	34.09 (108.74)	−23.19 (182.26)	56.43 (231.94)
Current Competition	13,373.79 (7,991.05)	18,955.52 (12,979.13)	31,826.28* (16,545.79)
<i>Local resources</i>			
Population Density	−.42* (.21)	2.70* (.45)	2.33* (.56)
Percent Professional	4,834.73* (738.51)	16,650.01* (1,236.45)	21,395.03* (1,570.86)
Percent High Income	11,795.47* (1,329.99)	41,266.58 (2,397.90)	54,397.20* (3,018.42)
Percent Elderly	−3,451.99* (1,308.95)	8,324.24* (2,748.27)	4,156.15 (3,419.13)
<i>Controls for election cycles†</i>			
1998	48,907.08* (16,109.57)	149,074.21* (26,228.83)	192,804.50* (33,441.26)
2000	73,829.79* (16,207.77)	197,285.91* (26,404.37)	266,510.01* (33,660.56)
2002	105,162.84* (16,167.62)	226,681.31* (26,332.41)	327,049.10* (33,570.42)
2004	39,301.14* (8,538.72)	−117,090.31* (14,636.98)	−81,073.61* (18,513.81)
Constant	−32,986.17 (28,004.75)	−464,839.12* (51,663.96)	493,360.38* (65,011.72)
Σ_u	81,038.81 (3,883.54)	207,298.50 (8,068.42)	252,833.80 (10,118.26)
Σ_e	98,170.23 (1,703.65)	155,065.73 (2,661.55)	198,085.82 (3,415.24)
ρ	.41 (.03)	.64 (.02)	.62 (.02)
log likelihood	−28,411.35	−29,585.31	−30,099.50
χ ²	530.80	767.21	956.68
χ ² prob.	<i>p</i> ≤ .0001	<i>p</i> ≤ .0001	<i>p</i> ≤ .0001
N	2175	2175	2175

Dependent variable is the amount in \$ contributed to other congressional districts.

Cross-Sectional Time-Series Regression, MLE Estimation.

Cell entries are regression coefficients (standard errors); **p* ≤ 0.05, two-tailed test.

†1996 is the excluded baseline election cycle.

the country enjoy very dense ties of monetary surrogacy with congressional representatives; whereas most places have only thin ties—or none at all—an important fact that the previous literature has left unexplored. Monetary surrogacy financially links members of Congress to a biased subset of congressional districts. Wealthy districts possess wide-ranging ties of surrogate representation in addition to their electoral relationship with a local representative, while less economically advantaged districts remain limited to their single geographic representative. Clearly, the geographic concentration of wealth intersects with our system of geographic representation in important and understudied ways.

Under a system of representation otherwise based entirely on geography, these issues of representation have been troubling enough to prompt some states to set limits on contributions from outsiders. Legislators or citizens in Alaska, Vermont, and Oregon have each attempted to restrict monetary surrogacy.²⁰ The Supreme Court of Alaska upheld that state's strict limits on out-of-state contributions,²¹ focusing on concerns that wealthy outsiders can otherwise distort and exploit Alaska's politics:

Alaska has a long history of both support from and exploitation by nonresident interests . . . Its beauty and resources have long been lightning rods for social, developmental, and environmental interests . . . The Act's restraints on nonresident contributions attempt to limit this influence and attempt to prevent elected officials from becoming beholden to those influences. (*State v. Alaska Civil Liberties Union* 1999, 617)

Given that the bulk of House members' campaign contributions originate from outside the home district, one

²⁰In 1994 Oregon voters approved a ballot measure to limit campaign contributions to residents of the office's constituency. In 1997, the Vermont legislature passed Act 64, which overhauled the state's campaign finance laws and, in the process, limited nonresident contributions to 25% of the total raised by a candidate. Both the Vermont and Oregon limits were overturned by federal appellate courts following challenges on the basis of freedom of speech. See *Landell v. Sorell* (2005) and *VanNatta v. Keisling* (1998).

²¹Alaska Statute 15.13.072 limits contributions from nonresident individuals to at most 10% of a candidate's total contributions and further caps out-of-state contributions for governor and lieutenant governor at \$20,000, for state senator at \$5,000, and for state representative or municipal office at \$3,000.

can question whether representatives will focus on district interests, or instead prioritize the preferences and concerns of distant, surrogate constituents. Such charges are a staple of campaigns throughout the United States. Opposition researchers from rival campaigns are always poised to make the accusation that nonresident contributing will divide a candidate's loyalties if she is elected.²²

However, contributions from nonresident donors appear more likely to tie members of Congress closer to their parties than to particular moneyed interests or individuals. Patterns in the interdistrict flow of campaign contributions strongly imply that partisan networks are strategically directing these funds. The information costs involved in monitoring and assessing the competitiveness of nonlocal congressional elections would be enormously high if they were borne by individuals alone. Instead, these costs are defrayed by partisan organizations throughout the electorate. Party committees and candidates share donor lists that are national in scope, and an essential pitch that fundraisers make to donors around the country is that their contributions "can make a difference." Donations from nonresident individuals flowing into competitive districts are steered there, directly and indirectly, by parties ultimately seeking to maintain or take control of Congress. Considering the importance of these party organizations in directing these flows, the most likely policy effect of nonresident contributing is to render members of Congress more indebted to their political parties.

Relations of monetary surrogacy should thus not be seen as unmediated or direct linkages between individuals and distant representatives. The major political parties serve as central intermediaries in the construction of financial ties between congressional candidates and out-of-district donors. Even when they do not collect funds directly into party committees, parties coordinate the choices of individual donors. As a general matter, large nonresident individual donations are, functionally speaking, not "individual" at all. They are instead extensions of the modern parties' organizations into the electorate.

²²As one recent example, claims and counterclaims about nonlocal fundraising recurred during the 2006 Tennessee Senate contest between Harold Ford, Jr., and Bob Corker (Staley 2005).

APPENDIX TABLE A1: Means and Standard Deviations of Dependent and Independent Variables from Tables 3, 4, and 5

Variable	Mean	SD
Amount Sent to Noncontiguous Districts	212,426.60	344,454.10
Amount Sent to Contiguous Districts	96,729.03	137,447.90
Total Amount Sent to Other Districts	309,155.60	420,335.70
Amount Received from Contiguous Districts	1,006,663.30	164,606.80
Amount Received from Noncontiguous Districts	285,572.10	440,497.30
Total Amount Received from Other Districts	386,235.50	532,527.70
Contested Primary (one candidate = 1; two or more = 2)	1.26	0.44
Open Seat	0.09	0.28
Previous Competitiveness	61.44	27.49
Current Competitiveness Rating	0.13	0.33
Population Density (1000s)	7.69	19.91
Percent Professional	17.33	11.46
Percent High Income	3.88	3.35
Percent Over Age 65	12.39	3.10
1998 Cycle	0.20	0.40
2000 Cycle	0.20	0.40
2002 Cycle	0.20	0.40
2004 Cycle	0.20	0.40
Percent of Contributions Received from Contiguous Districts	16.51	15.93
Percent of Contributions Received from Noncontiguous Districts	49.52	23.24
Total Percent Received from Other Districts	66.25	21.82
Seniority (Years Served)	8.07	7.72
Leadership Position	0.04	0.19
Political Party (0 = Democrat, 1 = Republican)	0.53	0.50
Member of Banking Committee	0.13	0.34
Member of Appropriations Committee	0.14	0.34
Member of Energy Committee	0.12	0.32
Member of Ways and Means Committee	0.09	0.29
DW Nominate Political Ideology Score	0.54	0.17
Female Member	0.13	0.33
Gay Member	0.01	0.08
Black Member	0.08	0.27
Latino Member	0.04	0.19

Figures represent means and standard deviations for the entire pooled data set.

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